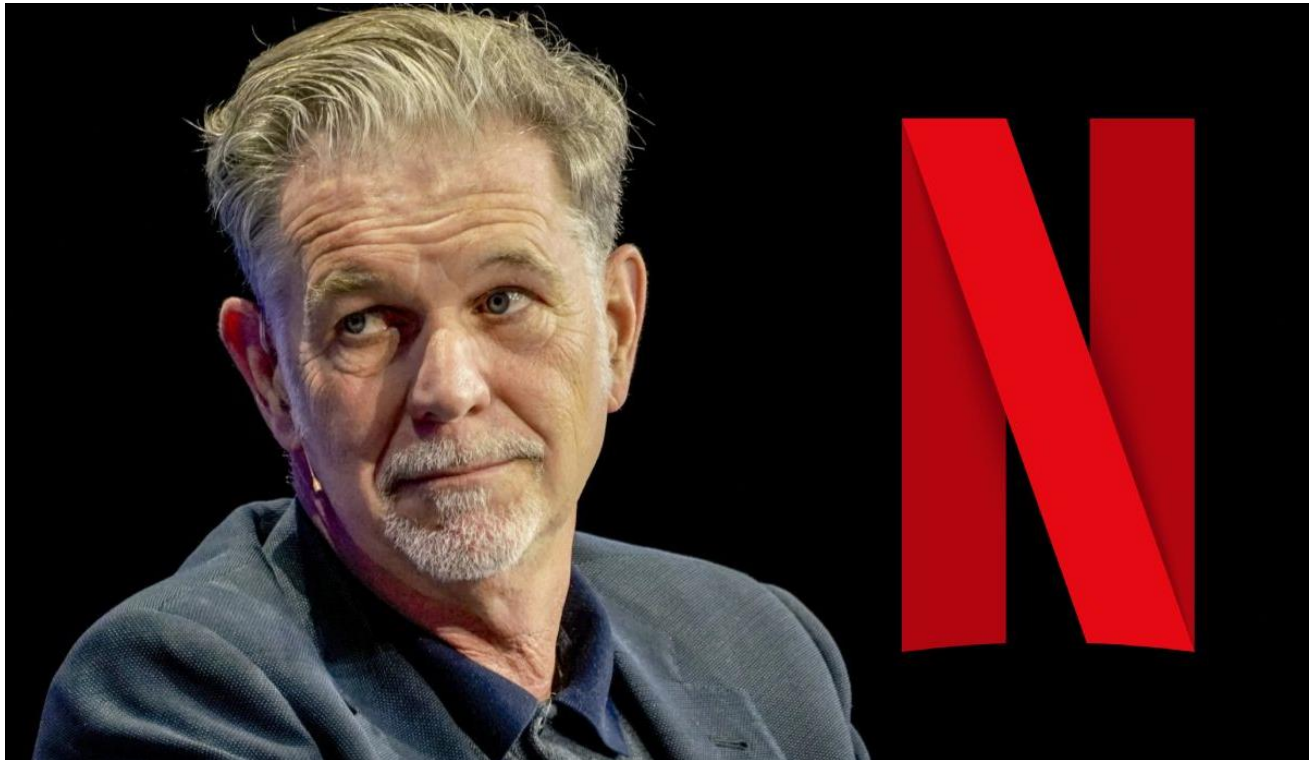


NETFLIX Case Study

Strategists must balance a future-focused strategy with current and prospective customers



July 13, 2011:

- Announced price increase
- Announced September split services: Internet streaming and DVDs in mail

October 10, 2011:

- Announced a return to original combined offering

Damage done:

- Lost 800,000 subscribers
- Stock fell more than 30 percent
- Lost more than \$2 billion in market value

Group exercise

Reflecting on the historical debate about the role of management and leadership evaluate the management and leadership style of Reed Hastings, CEO of Netflix.

- Using various theories and perspectives, how would you describe Hasting as a leader? Which theories are most relevant to evaluate his actions and leadership style? Why?
- Which theories and management perspectives would be most applicable for analysing Netflix' case study in general? Look at the story trough a lens of the most significant theories. What to you see?
- What is the conclusion of the case: What could Hasting have done differently, to avoid the crisis, which theory makes you believe that and why? What are the situational contexts that may have changed the outcome of the story?

Violetta
Stanisław
Daniel
Danylo
Helena Paulina
Paweł
Michał
Maria
Natalia
Marta
Jan Jacek
Asadbek
Illia
Roman
Jakub
Oliwier
Anna Aleksandra
Zofia
Kaja
Paweł
Paweł Karol
Iga

Starting with the end in mind

Write a report reflecting on the historical debate about the role of Management and Leadership from the Streaming services Industry.

Assignment Due: Friday 27th September 2024 at 18:00 BST

Word Count (or equivalent): 1,000 words (+/- 10%)

You are required to write a **1000-word (+/-10%) report** reflecting on the **historical debate** about the role of management and leadership by **comparing, contrasting theories and perspectives** and **evaluating the management and leadership styles** of two managers from the streaming services industry (eg: Amazon Prime video, Netflix, YouTube etc.). Your choice of managers should be agreed with your tutor.

The historical debate about the role of management and leadership

Classical Theories

- Scientific Management - Frederick Taylor: Focuses on efficiency and productivity through standardization, division of labour, and time-and-motion studies.
- Administrative Management - Henri Fayol: Emphasizes organizational structure and management functions.
- Bureaucratic Management - Max Weber: Focuses on a structured hierarchy and clear rules to increase efficiency and predictability.

The Great Man vs. Trait Theories

- Various contributors over time.
- Trait theories focus on identifying specific personality traits that distinguish effective leaders.
- While early research emphasized innate traits ("The Great Man"), more recent views recognize that leadership effectiveness depends on a combination of traits, skills, and situational context.

Situational Theories

- Paul Hersey and Kenneth Blanchard (1970s).
- Situational theories propose that effective leadership depends on adapting one's behaviour to the specific situation. The leader's approach should vary based on the readiness level of followers (their ability and willingness to perform tasks).

Contingency Theories

- Fred Fiedler (1967).
- Fiedler's contingency theory emphasizes the importance of context in effective leadership. It suggests that there is no universally best set of leadership traits or behaviours. Instead, the effectiveness of a leader depends on the match between their leadership style and the situational demands.

(HOMEWORK 16.09.24)

The historical debate about the role of management and leadership



Behavioural Theories X and Y

- Kurt Lewin, Douglas McGregor, and others.
- Behavioural theories focus on observable behaviours rather than inherent traits. They categorize leadership styles into task-oriented (focused on achieving goals) and relationship-oriented (emphasizing interpersonal relationships) approaches.

Transformational Leadership

- James MacGregor Burns (1978).
- Transformational leaders inspire and motivate followers to achieve extraordinary outcomes. They focus on vision, charisma, and empowering others. This theory emphasizes personal growth and collective success.

(HOMEWORK 17.09.24)

Distributed Leadership

- Peter Gronn (2000s).
- Distributed leadership challenges the idea of a single leader at the top. It recognizes that leadership is shared across various roles and levels within an organization. Collaboration and collective decision-making are central to this approach.

(HOMEWORK 17.09.24)

Participative Management

- Kurt Lewin (1930s-1940s).
- Participative management theories advocate involving employees in decision-making. Leaders who seek input from their team members create a more engaged and committed workforce.